

One at a Time

Whatever the reasons, it has proved just about impossible to predict the market with enough accuracy and consistency to make money out of the process. A lot of people who have developed series of indicators that worked well in the past try to convince us otherwise. Their forecasts can work for a time, and then they don't. Even the hottest gurus last only two years, at most three. How many called the 1987 break and stayed bearish for the next five years? Time after time certain people get reputations as being clever, and that lasts until the next time. Do you remember when the press hung on every word of the oracles Joseph Granville and, later, Robert Prechter? Their ability to call market turns was uncanny—until, not so uncannily, they failed. As Cicero said to the Roman Senate: "It seems to me that no soothsayer should be able to look at another soothsayer without laughing."

I truly believe, then, that one is better off spending his time finding good stocks and mutual funds and holding on to them for the long pull. Yes, that means ignoring the daily pronouncements about where interest rates, the bond market, and stocks are headed. Certainly in the dozen years up to the day I am writing this book, anytime you held cash for any period longer than a few weeks or a few months, it's been a mistake. Besides, even when "corrections" last several years, the market always goes on to new highs. So the naive optimist who stays fully invested will drive a Mercedes when he retires, while the intelligent pessimist, who can always pull out a long list of devastating problems facing the country and the economy, will have to be satisfied with his seven-year-old Chevy.

Businesses, too, have their cycles, but these are easier to see and react to than economic or market cycles. Somebody who comes up with a terrific line of athletic shoes will have a wonderful two or three, maybe four years, but you know that sooner or later somebody else is going to come up with a better shoe or people are going to decide they don't want to wear anything that looks like an ath-